

STRATEGIC ADVICE: Day 2

Keywords:

Signaling / Partial Optimization / Escalation / Time-Pressure

Coalition-Building / Trust / Cooperation / Influence and Commitment

REMEMBER THE ADVICE FROM DAY 1: REMEMBER YOUR INTERESTS.

- At the table: Walk away from a deal, if it cannot meet your goals.
- Likewise, insure that the issues you are negotiating accurately reflect your interests, and that the positions you are taking favor your interests.
- In advance: Prepare a strategy that is consistent with your interests, not just focused on a dominant issue.

EFFECTIVE USE OF DEADLINES IN NEGOTIATION

- As a deadline approaches, expect concessions to become more frequent.
- Define intermediate goals and create deadlines to spur movement.
- Re-negotiate deadlines if needed. Many deadlines turn out to be arbitrary.
- Conceal your own your deadlines: The party who does not face an external deadline end up having more power over the negotiation.

ESCALATION

Negotiations may put you at risk of escalating your position to levels that violate your own interests because of:

- **Miscommunication:** We misjudge the counterparty's intentions.
- **Sunk costs:** Investments (both material and psychological) made into the negotiation on prior rounds increase our commitment to continue the negotiation.
- **Perceived power:** Both parties feel they have the power to impose a negotiation outcome on their counterparty.
- **Personality:** Some people always need to be on top.
- **Audience Effects:** We don't like to 'give in' in conflicts that are public.

RESOLUTION OF CONFLICT

EVEN IF YOU ARE IN A POSITION OF POWER, CONSIDER BUILDING AGREEMENTS THROUGH COMMITMENT & COOPERATION.

- The more you rely on power, the more you need to defuse the other side's resistance.
- Agreements based on commitment are more likely to last.
- A process perceived to be fair is also seen to yield better agreements.

Getting Past No: 5 Strategies to deescalate negotiations:

- Don't React: Go to the Balcony
- Don't Argue: Step to their Side
- Don't Reject: Reframe the Problem
- Don't Push: Build a Golden Bridge
- Don't Escalate: Use Power to Educate

RECOGNIZE THE IMPORTANCE OF SOCIAL RELATIONSHIPS IN NEGOTIATIONS.

- Avoid egocentric views of what choices are supposedly “rational”.
 - Remember that fairness is a psychological construct; there may be many “reasonable” standards.
 - Select those principles of fairness that are most favorable to you (i.e., equity, equality, needs-based, historical precedent, etc.) and make explicit the “unbiased-appearing” rationale and justification for the allocation
 - Be aware, if you start with an extreme offer, you may alienate and offend others.
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- Gain advantage by moving quickly and making the first offer
 - Coalitions that form early tend to stick.
 - Form coalitions early so as not to be excluded.
 - Secure early commitments and develop relationships before people become psychologically committed to the other party.
 - Influence others’ actions/choices through:
 - Incentives
 - Threats (if credible)
 - Commitment
 - Elicit trustworthy behavior by being trusting, and conversely, to be trusted be trustworthy

TIT FOR TAT (or better: TIT FOR TWO TAT)

Axelrod (1980): conditionally open strategies elicit sufficient cooperation without becoming vulnerable to excessive claiming:

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| 1. Be Nice: | Don't be the first to defect |
| 2. Be Provocable: | Reciprocate defection |
| 3. Be Forgiving: | Reciprocate cooperation |
| 4. Don't be Envious: | Don't determine your success relative to the other player |

PRINCIPLES OF INFLUENCE

You can influence the other party's actions/choices via the following basic principles (see Cialdini, 2001):

1. Social Proof
2. Expertise
3. Liking
4. Scarcity
5. Reciprocity
6. Consistency